

HARGROVE

Presented by Hargrove

The Advisor's Guide to LLCs

Why Advisors Should Care About LLCs

Helps protect clients' financial safety, like estate planning

Builds trust with clients

Uncovers additional assets and planning opportunities

One of the most common legal structures advisors encounter

Formation, ownership, documentation, insurance, and administration all matter

What is an LLC?

Legal Structure

Separate legal entity formed under state law

Members vs. managers

Single-member vs. multi-member LLCs

Member-managed vs. manager-managed

What is an LLC?

Liability

Generally, separates company liabilities from the owner's personal assets

Limited liability is not absolute

Courts look to certain factors to determine whether or not to allow lawsuits to “Pierce the Corporate Veil”

An LLC generally does not fully protect someone from their own personal wrongdoing/professional liability

A properly structured LLC can give some advantages in terms of what can and can't be taken in some states

What is an LLC?

Taxation

An “LLC” is not a federal tax classification

An LLC might be taxed as:

Disregarded entity/Sole Proprietor (Sole Member, not taxed as S-Corp)	Partnership (Multi-member companies)
S corporation (with some limitations)	C corporation (technically and with limitations)

Why Clients Use LLCs

Ease – they are often the easiest to run and set up

Flexibility with future changes – an LLC can choose to be taxed in different ways. It can also be modified enough to account for most complex business situations.

Most Common LLC Scenarios and Client Objectives

Operating a business

Holding rental or investment real estate

Holding other investment/business assets

Holding companies

Separating business ventures or liabilities

Facilitating family/business ownership arrangements

Integrating business interests into estate planning

Asset/ Liability Segregation

Rental property

Operating businesses

Higher-risk activities

Separate business
ventures



How Advisors Can Identify Clients Who May Need an LLC

"I bought a rental property."

"I'm starting a side business."

"I'm bringing in a partner."

"I'm giving my child part of the business."

"I have an LLC, but I don't know where the Operating Agreement is."

"My trust owns everything except my business."

"I'm selling/buying part of a business."

Sometimes being able to just spot these common fact patterns gets us most of the way there to suggesting intelligent solutions.

"Piercing the Corporate Veil" and Maintaining Liability Protection

A simple follow-up framework:

1 What type of entity?
LLC, Sole Prop, LP, or true S-Corp?

2 Who's involved?
Just the client, or partners too?
Different managers?

3 Formation documents?
Certificate/articles, Operating Agreement, meeting minutes?
~90% of clients never created an Operating Agreement

4 Estate planning?
Has the LLC interest been assigned to a Trust?
Do the business and estate plans align?

Why Does This Matter?

Piercing the corporate veil: courts can hold an owner personally liable if the LLC looks like a shell company

Rule for clients: Treat the LLC like a real company

Common risk factors:

Commingling personal and company funds

Inadequate documentation

Failure to maintain entity formalities

Fraud or improper conduct

Inadequate capitalization or insurance

Basic Practices That Protect the Corporate Veil

If clients follow these practices, a plaintiff is very unlikely to pierce the corporate veil:

- ✓ Separate bank account with an adequate reserve
- ✓ CPA-verified business expenses only
- ✓ Properly form the LLC with the State
- ✓ Well-drafted Operating Agreement
- ✓ Organizational Meeting Minutes
- ✓ Insurance appropriate to the business

LLC vs. Insurance: Reality — You Usually Want Both

LLC protection and insurance solve different problems.

LLC

Legal separation

Entity-level liability containment

Protects personal and other business assets

Insurance

Pays covered claims

Preserves business continuity

Funds defense costs

Covers risks entity structuring can't

Entity structure + insurance + proper administration =
complementary layers of protection

Where the Advisor's Role Ends and Legal Advice Begins

When in doubt, default to your compliance counsel.

Appropriate Advisor Conversation

"Have you considered whether an LLC would make sense?"

"Who currently owns the property?"

"Do you have an Operating Agreement?"

"Has the LLC been coordinated with your estate plan?"

"It may be worth having an attorney review this."

Simple rule: Advisors identify the issue; attorneys design and document the legal solution.

Things to Send to Counsel

Which entity should own the property?

How should multiple owners structure rights?

Does the Operating Agreement say enough?

How should interests transfer to the client's Trust?

Does the structure provide the desired protection?

Common LLC Mistakes We See

Formed an LLC online and stopped there	No Operating Agreement	Operating Agreement doesn't match ownership
Property never transferred into the LLC	Personal and business funds commingled	Wrong entity signs contracts
Ownership changes never documented	LLC is administratively dissolved	Estate plan and LLC documents conflict
Client assumes LLC = S corporation	Client assumes LLC replaces insurance	High-risk assets not separated into their own LLC

\$1,250

Tier 1 – Single-Member Entity Document Package

For clients with an existing single-member entity who need to finish core legal documentation.

Includes: operating agreement/bylaws, meeting minutes, banking resolutions, trust-ownership integration

Includes a compliance checklist for maintaining the entity going forward

\$2,250

Tier 2 – Simple Single-Member LLC Formation

For clients forming a new single-member LLC as part of their wealth or estate strategy.

Includes: state filings, EIN, governing documents, tax elections, meeting minutes, banking resolutions, trust integration

Includes a compliance checklist for maintaining the entity going forward

\$3,500

Tier 3 – Multi-Member Business Structures

For businesses with two or more owners needing governance, ownership rights, and contingency planning.

Includes: fully customized operating agreement — capital structure, transfer restrictions, buy-sell provisions, valuation, dispute resolution

Also available for existing multi-member companies missing these documents

Includes a compliance checklist for maintaining the entity going forward

Custom Pricing

Tier 4 – Advanced Planning Structures

For high-net-worth clients or complex planning: family limited partnerships, holding companies, multi-entity planning, gifting/valuation-discount strategies.

We handle strategic planning, full formation, and fully customized documents

Includes a compliance checklist for maintaining the entities going forward

Best Way to Engage Hargrove

1

Identify

Advisor spots a possible issue

2

Free Consult and Design

Attorney meets with client to review assets, ownership, liability, tax, and estate planning; determines the right structure

3

Follow-up

Client confirms engagement (invoice + engagement letter)
We confirm details and request anything outstanding

4

Documents (as needed)

Formation documents, Operating Agreement, EIN
Assignments, consents, ownership changes, restructuring
Trust/estate-plan coordination; purchase/sale docs where applicable

5

Maintain

Help clients understand next steps; provide a tailored LLC Compliance checklist

Contact Hargrove

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Advisor Success Team

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Schedule a Demo

Visit the Advisor Portal



Q&A



Thank you!

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